Outlook

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Do origination PD bands separate later outcomes?

Team,

Before this becomes another standing report, can we answer the real question?

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour. The possible stories are that product and vintage explain more than the score, that missing or defaulted inputs create artificial separation, or that higher PD bands show more arrears.

Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Please prepare a control view with the exceptions, owner and reason each item was included. The output must help us decide whether recalibration, segmentation or data remediation is the next step.

Data available: the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations.

Please state the limitation plainly: The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Thanks